

Economics & Law, Winter Semester 2025/26

Lecturer: Prof. Dr. Roee Sarel

Course Description:

This course familiarizes students with the basics of economic thinking and their relevance for the investment climate. The course is divided into two parts. Part I (“Economic Principles”) consists of six chapters: (1) the basics, (2) necessary conditions for functioning markets, (3) market failures and market intervention, (4) international trade, and (5) political economy, and (6) behavioral (Law &) economics. The goal of this part is to introduce students to various economics concepts in general and help develop an economic way of thinking.

Part II (“Investment Climate”) connects the insights from Part I to the investment climate in developing and developed countries. Certain elements of repetition are explicitly intended for sustainable learning success. Six sub-chapters are included: (1) overview of key elements determining investment climates, (2) the security and stability of property rights, (3) regulation and taxation, (4) availability of financial markets, (5) infrastructure, and (6) labor markets. The discussion of these determinants highlights their importance for the behavior of firms and entrepreneurs.

Course Structure:

- 36 academic hours (in-person lectures at the NIT, unless communicated otherwise).
- **Evaluation:** 100% exam. The problem sets are for practice only.

Main Materials:

1. Course slides.
2. Pindyck, Robert S., and Daniel L. Rubinfeld. "Microeconomics." (9th edition, 2018) (hereinafter: “**Pindyck & Rubinfeld**”).
3. [Cooter, Robert, and Thomas Ulen. *Law & economics*](#) (6th edition) (hereinafter: “**Cooter & Ulen**”).
4. [World Development Report 2005 – A better investment climate for everyone](#) (hereinafter: “**WDR 2005**”).
5. Additional materials are specified below for each chapter.

Part I: Economic Principles

1.The Basics

This section covers basic economic concepts, including (1) supply, demand, and equilibrium; (2) the concept of economic efficiency; (3) and the distinction between a partial equilibrium and a full equilibrium.

- Suggested readings:
 - a. *Pindyck & Rubinfeld*:
 - i. Chapter 2
 - ii. Chapter 3 – only pages 484-485 (prisoner’s dilemma)
 - iii. Chapters 10-13.
 - b. *Cooter & Ulen*:
 - i. pages 11-32
 - ii. pages 37-42.

2.Necessary conditions for functioning markets

This section covers the conditions for trade to work in markets and introduces concepts such as indifference curves, budgets lines, and edgeworth boxes. These are then used to explain how trade works in a pure-exchange economy.

- Suggested reading:
 - *Pindyck & Rubinfeld*:
 - Chapters 3.1 – 3.3 (Consumer preferences)
 - Chapters 16.1 – 16.3 (trade in exchange economy).

3.Market Failure & Market intervention

This section covers the various causes for a market failure and the ways in which governments can intervene to address the failure, including: (1) taxation/subsidies, (2) price regulation, (3) and mandated guarantees.

- Suggested reading:
 - Jabotinsky, Hadar Y., and Roe Sarel. "How crisis affects crypto: Coronavirus as a test case." *Hastings LJ* 74 (2022): 433, **only pages 451-454 (the section titled “possible market failures”)**, [link](#).
 - *Pindyck & Rubinfeld*:
 - Chapters 9.1-9.4 and 9.6.
 - Chapter 16.7
 - Chapters 17-18.
 - Akerlof, George A. “The market for lemons: Quality uncertainty and the market mechanism”, *The Quarterly Journal of Economics* 84.3 (1970): 488-500.

4. International Trade

This section covers some fundamentals of international trade, including the challenges to cooperation and the impact of tariffs on efficiency.

- Suggested readings:
 - Pindyck & Rubinfeld:
 - chapter 9.5
 - chapters 16.4-16.5.

5. Political Economy

The section provides a brief introduction into political economy and public choice, including (1) rent-seeking and (2) the median voter theorem. These concepts are then related to the analysis of government failures and international trade.

- Suggested readings:
 - Congleton, Roger D. "The median voter model." *The encyclopedia of public choice*. Springer, Boston, MA, 2004. 707-712.
 - Krueger, Anne O. "The political economy of the rent-seeking society." *The American economic review* 64.3 (1974): 291-303.
 - Tullock, Gordon. "The welfare costs of tariffs, monopolies, and theft." *Economic Inquiry* 5.3 (1967): 224-232.

6. Behavioral (Law &) Economics

This section provides an overview of behavioral economics and its relationship to the law, including: (i) biases and heuristics, (ii) prospect theory, (iii) some experimental evidence, and (iv) nudging.

- Suggested readings:
 - Engel, Christoph. "Behavioral Law and Economics." *The Oxford handbook of behavioral economics and the law* (2014): 125, [link](#).
 - van Aaken, Anne, and Roee Sarel. "Framing effects in proportionality analysis: experimental evidence." *Journal of Law & Empirical Analysis* 2.2 (2025): 174-202, **only the section titled "Biases and Heuristics Relevant to Proportionality Analysis"**.
 - Englich, Birte, Thomas Mussweiler, and Fritz Strack. "Playing dice with criminal sentences: The influence of irrelevant anchors on experts' judicial decision making." *Personality and Social Psychology Bulletin* 32.2 (2006): 188-200, [link](#)
 - Thaler, Richard H., and Cass R. Sunstein. *Nudge: Improving decisions about health, wealth, and happiness*. Penguin, 2009, pages 1-1, [link](#)
 - Thaler, Richard H. "Nudge, not sludge." *Science* 361.6401 (2018): 431-431.
- A book for general background only: Kahneman, Daniel. "Thinking, fast and slow." *Farrar, Straus and Giroux* (2011).

Part II [subject to time constraints]: Investment climate

This part of the course, which will be covered only if time allows, relates the concepts discussed in part I to the concept of “Investment Climate”. We will closely follow the discussion in the World Development Report of 2005.

- Suggested readings (all from the WDR 2005):
 - Overview – pages 19-76.
 - Security & stability of property rights – pages 77-94
 - Regulation & Taxation - pages 95 -114
 - Financial markets and infrastructure: pages 115 – 135
 - Labor markets – pages 136 – 156.